STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Case 25-E-0072 –	Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service.
Case 25-G-0073 –	Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

NEW YORK POWER AUTHORITY

STATEMENT IN SUPPORT OF JOINT PROPOSAL

Gary D. Levenson
Principal Attorney

Matthew J. Barnett
Senior Attorney

New York Power Authority
123 Main Street
White Plains, NY 10601

November 26, 2025

INTRODUCTION AND DESCRIPTION OF NYPA'S INTEREST

The New York Power Authority ("NYPA") hereby files this statement in support of the Joint Proposal ("JP") filed with the New York Public Service Commission ("Commission") on November 5, 2025. NYPA is a signatory to the JP with respect to the electric service issues set forth therein by Consolidated Edison Company of New York, Inc. (the "Company" or "Con Edison") in Case 25-E-0072 and the gas service issues set forth therein by the Company in Case 25-G-0073.

NYPA is a corporate municipal instrumentality and a political subdivision of New York State ("the State") whose mission is to provide low cost and reliable electricity consistent with safety and a clean environment, while promoting economic growth and energy efficiency for the benefit of its customers.[1] NYPA is authorized under its statute to serve as the full requirements power supplier to approximately 11,000 governmental customer accounts (collectively, the "NYPA Governmental Customers") in the Company's service territory.[2] These customers, which NYPA serves under long-term supply contracts, include the City of New York, County of Westchester, Metropolitan Transportation Authority ("MTA"), Port Authority of New York and New Jersey, New York City Housing Authority, and the New York State Office of General Services. The NYPA Governmental Customers comprise a separate service class under the Company's tariffs.[3]

[1] N.Y. Pub. Auth. Law ("NY PAL") §§ 1002(1), 1005 *et seq*.
[2] *See* NY PAL §§ 1001, 1001a, 1005 (third undesignated paragraph).
[3] These delivery service arrangements are contained in the Company's PSC No. 12 tariff applicable to NYPA. The rest of Company's customers receive delivery service under its PSC No. 10 tariff.

NYPA's interest in these proceedings arises from NYPA's payment of the Company's delivery charges, which it passes through to its governmental customers. NYPA has historically intervened in the Company's rate proceedings to help ensure the electricity rates paid by these state, county and municipal agencies performing vital services for the public are just and reasonable.

Additionally, consistent with the NY PAL, as well as New York State's energy efficiency and greenhouse gas reduction goals set forth in the 2019 Climate Leadership and Community Protection Act ("CLCPA"),[4] NYPA's clean energy initiatives span the State and include the installation and commissioning of electrification projects that promote energy efficiency, carbon reduction goals, and resiliency.

PRELIMINARY STATEMENT

NYPA supports the electric and gas service provisions of the JP as a fair and reasonable result consistent with the public interest. NYPA filed testimony on operational flow orders, electric service customer operations, and the earnings adjustment mechanism ("EAM") for improving transportation and building electrification project timelines. These items were addressed in the JP, as discussed in more detail below.

With respect to overall rates, the JP achieved compromise resolutions addressing, *inter alia*, electric revenue requirements and bill impacts, rate of return on equity, revenue allocation and rate design, electric reliability and resiliency, and the myriad other provisions affecting the electric and gas businesses of the Company and its customers, which are fair and reasonable and consistent with the public interest.

[4] 2019 N.Y. Sess. Laws Ch. 106 (McKinney).

In particular, the JP's resolutions on operational flow orders, customer operations, and the transportation and building electrification EAM satisfy the standards of review set forth in the Commission's settlement guidelines.[5] The JP reflects a compromise of competing interests that, in the context of setting rates, terms, and conditions for three years (rather than for a single year that would emerge from a litigated case), produces an outcome that is superior to litigation.

For NYPA, the JP represents the advancement of NYPA's policy goals in a manner that may not have been achievable in a litigated rate case. The outcomes achieved in the JP related to operational flow orders, customer operations, and the transportation and building electrification EAM reflect NYPA's recognition that while it had a high degree of confidence that its litigation positions would be successful in an administrative trial, these efforts could have fallen short, and the compromises contained in the JP are a reasonable outcome.

In sum, as demonstrated below, the JP represents a settlement in the public interest as understood by the Commission, as it (1) fairly balances the interests of ratepayers, investors and the long-term viability of the Company; (2) fosters consistency with sound environmental, social, and economic policies of the Commission and New York State; and (3) produces results that are within the range of reasonable results that would likely have arisen from a Commission decision in a litigated proceeding.[6] Accordingly, the Commission should approve the JP in full and without modification.

[5] Cases 90-M-0255 *et al.*, Proceeding on Motion of the Commission Concerning its Procedures for Settlement and Stipulation Agreements, filed in C 11175, Opinion No. 92-2, "Opinion, Order and Resolution Adopting Settlement Procedures and Guidelines" at 30 ("Settlement Procedures Order") & Appendix B at 8 ("Procedural Guidelines for Settlements") (issued March 24, 1992).
[6] Procedural Guidelines for Settlements at 8.

STATEMENT IN SUPPORT OF JOINT PROPOSAL

A. Operational Flow Orders

NYPA's testimony sought modifications to the Company's practices and procedures relating to operational flow orders ("OFOs"), which are restrictions on natural gas usage. NYPA owns or oversees on behalf of its customers eight generation facilities that use natural gas delivered by the Company's pipeline system, and the Company's issuance of an OFO can disrupt NYPA's ability to make accurate gas purchases, reduce revenue opportunities, and increase operational costs. OFOs are to be issued only when the Company needs to alleviate conditions that threaten the integrity of the Company's system or prevent short-term interruptions, but the prevalence of OFOs has increased in recent years, to NYPA's detriment.[7]

In testimony, NYPA sought additional transparency and reforms to the Company's OFO notice procedures to enable NYPA's fuel supply team to make more informed gas purchases under OFO conditions. In the JP, the Company commits to increasing transparency by providing as much notice of OFOs as possible, providing information on cold weather operating guidelines and operational restrictions, and providing additional information on the causes of OFOs.[8,9] Additionally, the Company commits to convening bi-annual seasonal meetings with NYPA and other interruptible generation market participants to review the previous season's performance and to discuss specific issues encountered, potential improvements to be considered, and the overall system plan for the upcoming season.[10]

---

[7] *Direct Testimony of New York Power Authority Gas Operations Panel*, filed May 30, 2025, at 4, 8.
[8] JP at 80.
[9] While some of these items were already required by Con Edison's own operating guidelines, NYPA is optimistic that the inclusion of these items in the JP will encourage Con Edison's compliance.
[10] JP at 80.

It is NYPA's position that the Company's commitments relating to OFOs, as expressed in the JP, are within the range of reasonable outcomes that would have arisen from a litigated proceeding before the Commission. The OFO provisions in the JP stand to reduce costs to ratepayers while improving energy efficiency, thereby meeting the Commission's guideline that settlements balance ratepayer and Company interests while being consistent with sound environmental, social, and economic policy. As the OFO provisions are thus consistent with the Commission's settlement guidelines, they should be adopted in full.

B. Customer Operations

NYPA's testimony also sought support for the NYPA Governmental Customers with regard to several customer operations issues, including billing delays, slow response times to requests for estimated reads, which are calculated estimations of customer usage for a particular billing period where an actual meter reading is not available, and non-billing of accounts, leading to large monthly adjustments. The causes of these billing issues include, but are not limited to, broken meters, the failure of the Company's automated metering infrastructure connectivity functions, and meter access issues, such as when the Company cannot physically access a meter but fails to relay this issue to NYPA to work with the relevant Governmental Customer to resolve the access issue.[11]

The Company's initial rate filing requested funding for the creation of a dedicated NYPA customer operations team within the Company to deal with these issues. Instead, in response to answering testimony and other feedback from NYPA and the NYPA Governmental Customers, Con Edison commits in the JP to create two engagement teams which will meet monthly and will

[11] *Direct Testimony of Eric Bowers on behalf of the New York Power Authority*, filed May 30, 2025, at 5.

consist of representatives from NYPA, New York City's Department of Citywide Administrative Services ("DCAS"), and the Company. One team will address issues with DCAS applications to start, stop, or transfer service, and the other team will address issues with bills that involve abnormal meter readings, faulty meters, and delayed or estimated bills.[12] The Company also commits to scheduling additional meetings with NYPA and NYPA Governmental Customers other than DCAS as needed when billing anomalies are identified. These discussions will be separate from those involving DCAS.[13]

NYPA supports the creation of these meetings as a compromise within the range of reasonable outcomes that would have arisen from a litigated proceeding before the Commission. NYPA believes these meetings will be a major benefit to NYPA and the NYPA Governmental Customers, and because they do not require additional Company staffing, they do not impose an additional burden on ratepayers. It is NYPA's position that the Company's commitment to these meetings effectively balances the interests of ratepayers and the Company, and accordingly, the JP provisions relating to these meetings are consistent with the Commission's settlement guidelines and should be adopted.

C. Interconnection Earnings Adjustment Mechanism

In the Company's previous rate case, the Commission approved a Transportation Interconnection Earnings Adjustment Mechanism ("EAM") as a shareholder incentive to reward Con Edison for making improvements to the speed of interconnecting electric vehicle ("EV") charging facilities.[14] New York City, as a party to this rate case, proposed retaining and

[12] JP at 90.
[13] JP at 92.
[14] See Cases 22-E-0064 and 22-G-0065, Consolidated Edison Company of New York, Inc. – Electric and Gas Rates, *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements* (issued and effective July 20, 2023).

expanding this EAM to include interconnection of building electrification projects as well as transportation electrification projects.

As a result of negotiations with NYPA and the NYPA Governmental Customers, the JP contains a "Transportation/Buildings Electrification Interconnection Timeline" EAM. This EAM contains separate adjustments for timeline reductions in interconnection of transportation electrification projects and for timeline reductions in interconnection of building heating retrofit projects, as well as a "synergy bonus" adjustment if Con Edison can achieve the minimum targets on both transportation interconnection and building electrification interconnection.[15] This structure was devised to increase the likelihood that the Company would reduce its timelines for both New York City *and* the MTA. This EAM incentivizes the Company to reduce the average timeline for transportation electrification projects from application to energization, relative to a historical baseline, for transportation electrification projects 300 kilowatts and larger each rate year and for electric heating retrofit projects 50 kilowatts and larger each rate year.[16]

NYPA supports the JP's inclusion of this EAM as a compromise that is within the range of reasonable outcomes that would have arisen from a litigated proceeding before the Commission. The EAM is poised to accelerate electrification projects, which would enhance energy efficiency and provide other cost-effective social benefits for NYPA Governmental Customers pursuing electrification projects. Accordingly, the expanded Transportation/Buildings Electrification Interconnection Timeline EAM is consistent with the Commission's settlement guidelines and should be adopted.

[15] JP Appendix 20 at 11.
[16] *Id*. at 11, 16.

CONCLUSION

In sum, the JP balances utility and ratepayer interests and is consistent with sound environmental, social and economic policy, in accordance with the Commission's settlement guidelines. For these reasons, and the other reasons set forth in detail in this statement, the Commission should find that the JP is in the public interest and adopt it in full and without modification.

Respectfully submitted,

/s/ Matthew J. Barnett
Matthew J. Barnett
Senior Attorney
Matthew.barnett@nypa.gov

Gary D. Levenson
Principal Attorney
gary.levenson@nypa.gov

New York Power Authority
123 Main Street
White Plains, NY 10601

November 26, 2025